Amazon.com, Inc.

AMZN NASDAQ

Buy	$252.46 ▼ 0.25%	12M Price Target $310.00	52-Week Range $196.00 – $287.20	Market Cap $2.72T

AMZN: Flat Ahead of Earnings, AWS Still the Story

WHAT HAPPENED

- Quiet tape — AMZN down 0.25% on light volume (16M shares vs. 30M+ recent average), which basically means nobody's doing anything ahead of earnings this week. The stock is coiled near the upper third of its 52-week range, so traders are waiting for the AWS number to pick a direction.
- Options flow is leaning bullish (put/call ratio of 0.54 — meaning for every bearish bet, there are nearly 2 bullish ones), but there's an unusual November $262.5 put buy that's 62x the normal open interest. Translation: someone big is paying for insurance against an earnings disappointment.

WHY IT MATTERS

The light volume + bullish options skew + one big put hedge tells me institutions are positioned long but nervous about Thursday's print. What matters most isn't retail or e-commerce — it's AWS growth rate and capex guidance. If AWS reaccelerates past 20% YoY, this stock breaks out toward $270+ because it validates the massive AI infrastructure spend. If AWS decelerates or capex guidance scares people (think "we're spending $125B next year"), you get a quick trip to $235. The bigger picture: the Trump administration's AI executive orders and the push for American cloud dominance quietly favor Amazon's federal footprint, even as the FTC's antitrust case still hangs over the retail business.

POLICY & POLITICAL WATCH

Two live wires: (1) the FTC antitrust case against Amazon's retail practices is grinding through court — a loss or forced structural remedy would be a real overhang, but any settlement signal would unlock value. (2) The administration's "AI dominance" executive orders are pushing federal agencies toward domestic cloud providers, which is a direct tailwind for AWS GovCloud contracts. Also worth watching: ongoing tariff pressure on Chinese imports hits Amazon's third-party sellers (half of GMV comes from them), which could squeeze retail margins into holiday season.

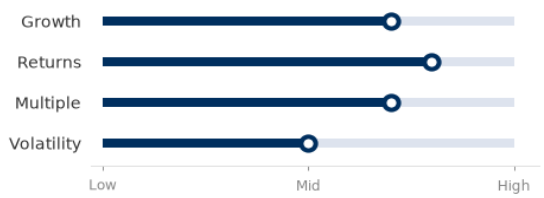
IS IT EXPENSIVE?

At ~$2.72T market cap and roughly 40x forward earnings — meaning you're paying $40 for every $1 of expected profit next year — AMZN isn't cheap, but it's reasonable for a company compounding AWS and ads at 20%+. The real valuation debate: are you paying for retail (low margin, slow) or AWS + advertising (high margin, fast)? If you break it up and value AWS alone like a cloud peer, you can argue retail is almost free at today's price — that's the bull case.

WHAT COULD GO WRONG

Key Data	
Price (USD)	**$252.46**
12M Price Target	**$310.00**
Upside / (Downside)	**+22.8%**
Market Cap	**$2.72T**
FY2026E Revenue	**$710M**
FY2027E Revenue	**$785M**
FY2026E EPS	**$6.20**
FY2027E EPS	**$7.45**
Fwd P/E	**40.7x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

AMZN — Amazon.com, Inc. | October 28, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$275.00**	$258.00	**$235.00**
6 Months	**$300.00**	$275.00	**$230.00**
1 Year	**$340.00**	$310.00	**$220.00**
2 Years	**$400.00**	$350.00	**$240.00**
5 Years	**$550.00**	$450.00	**$280.00**
10 Years	**$900.00**	$650.00	**$350.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+0.92%) leading — tied to AI data center power demand and a friendlier regulatory stance under the current administration. Healthcare bouncing on policy clarity.

COOLING OFF: Consumer Staples (-0.31%) — classic risk-on rotation, people are selling defensives.

ROTATION WATCH: Money is slowly moving from defensives into cyclicals and tech, but it's cautious — tech only up 0.22% today, which tells me investors want to see mega-cap earnings before committing more capital.

RELATED PLAY: If AMZN's AWS capex guidance surprises higher, the second-order winners are the power providers and data center REITs (think Vistra, Constellation, Equinix) that feed the AI buildout.

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Google Cloud growth accelerating and Gemini traction has them winning the AI narrative heading into prints.
- META (Meta): Ad business is a cash machine and the market has made peace with their AI capex — AMZN needs to tell a similar story Thursday.

AMZN CONTEXT: AMZN is lagging GOOGL and META into earnings, which actually sets up a better risk/reward — expectations are more modest, so a decent beat gets rewarded more. The stock sitting at 62% of its 52-week range (not stretched) is a good setup if the number is clean.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — High conviction on the 12-24 month story because AWS + ads + AI infrastructure is a durable trifecta, but tempered near-term by earnings event risk.

POSITION SIZE: 4-6% of portfolio — big enough to matter, small enough that an earnings air-pocket doesn't ruin your month.

ENTRY POINTS: I'd be a buyer in the $240-248 zone, which is where it bounced earlier this month. If it rips on earnings, don't chase above $270 — wait for the first pullback.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is clear evidence that AI capex is translating into AWS revenue acceleration, which should show up by mid-2026.

WHEN TO BAIL: If AWS growth drops below 15%, if the FTC wins a structural remedy, or if capex balloons past $150B without matching revenue — any of those three changes the story.

HEDGING: Simplest hedge is buying a November put slightly below the current price as earnings insurance — treat it like paying for a smoke alarm. Or just trim 25% of your position before Thursday if you can't stomach a 10% gap down.

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